QUARTERLY INVESTOR REPORT

Hollis Keystone Crossing | Chicago, IL

Investment	Hollis Keystone Crossing
Quarter	1Q 2019
Report Date	August 13, 2023
Sponsor	Vireo Income Properties
Occupancy	90.8%

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Projected levered IRR is 10.4% with an equity multiple of 1.31x over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Projected levered IRR is 5.1% with an equity multiple of 1.8x over the hold period. Average rent is $36 per square foot with parking at a ratio of 26 spaces per 1,000 square feet.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 92.4% of billed charges, with bad debt of 3.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 33 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $36 per square foot with parking at a ratio of 35 spaces per 1,000 square feet.

Risk Considerations

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Average rent is $36 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 33 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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